

EMAS

EQUITY RESEARCH

Merdeka Gold Resources Tbk.

RATING: BUY TARGET: 9700, 14000 CURRENT: 6900 UPSIDE: +36.72%, +97.14%

TECHNICAL VIEW

Date: 10/6/26 | Time Horizon: 3-6 months



SOURCE: TRADINGVIEW

Chart Pattern & Momentum:

EMAS (Merdeka Gold Resources) is currently in a correction phase after reaching a peak around 9,700 during the Feb-Apr 2026 period. Continued selling pressure has brought the price into the critical support zone of 5,900-7,100, with a daily decline of -4.05%. Structurally, the formation of a MA 13/21 death cross, accompanied by weakening volume, indicates that there is still not enough buying interest to hold back a further correction.

From a momentum perspective, MACD (12,26,9) remains in negative territory with a widening histogram, confirming that short-term bearish pressure has not eased. However, the 5,900-7,100 demand zone is an accumulation area that has historically carried strong significance, so reversal potential remains open if the price can hold and form valid technical confirmation.

With a 3-6 month time horizon, the bull-case scenario projects a recovery toward 9,700 to 14,025, equal to 95% upside potential from the current level. A measured entry may be considered if confirmation appears in the form of a MA golden cross, MACD histogram narrowing, and a volume spike indicating institutional accumulation. Cut loss is placed below 5,900 as the invalidation level for the bullish scenario.

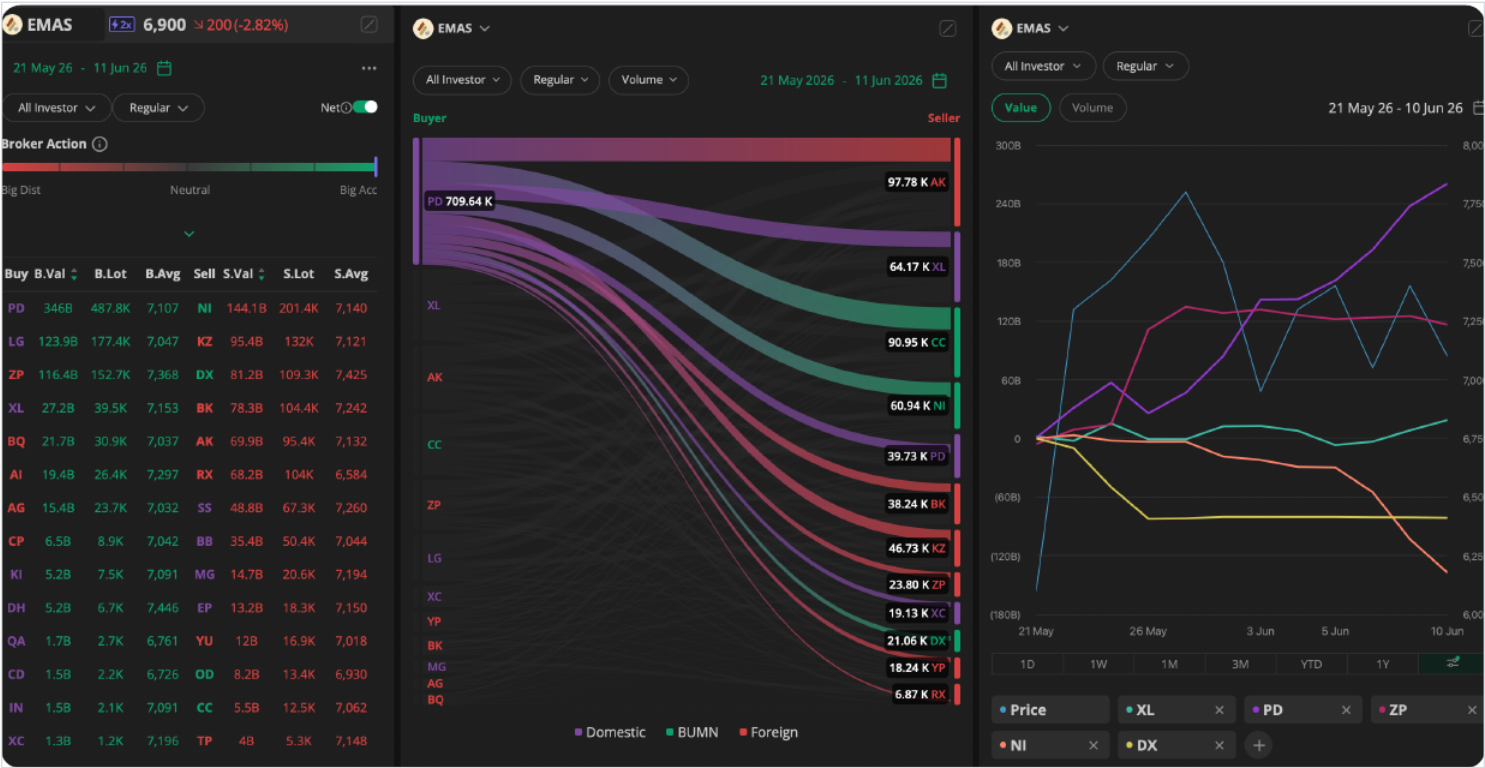
MONEY FLOW



SOURCE: NEOBDM



SOURCE: NEOBDM



SOURCE: STOCKBIT

EXECUTIVE SUMMARY

Investment Thesis:

- Based on broker summary data, PD (Indo Premier) was recorded as the largest buyer with a purchase value of IDR 346B / 487.8K lots at a B.Avg of 7,107, right at the previously identified support area.

- This confirms that PD accumulation began on 21 May 2026, which was the correction point, with an average buying price consistently in the 7,100 zone.
- With 4.8 million ounces of gold reserves and 7 million ounces of resources at Pani, EMAS is not just an ordinary local stock. This scale positions EMAS as one of the largest primary gold mines in Asia. That means stronger pricing power when global gold prices rise, stronger appeal to sovereign wealth funds and regional gold-themed ETFs, and a much more credible HKEx dual-listing story given assets of this size.
- EMAS's inclusion in the GDXJ index is expected to drive around USD 86 million of global passive fund inflows, while also increasing liquidity and international investor exposure.

Why The Market Is Wrong:

The decline that occurred was caused by the fall in the IHSG index, which affected EMAS's price action. Nevertheless, from the narrative side, EMAS has already entered global indexes such as GDXJ; the dual-listing issue has a possibility of success; and money flow from broker PD, suspected to represent the issuer, shows impulsive accumulation since the decline from the top. This indicates that the game is not yet fully over.

We also see in the SID report a decline in the number of shareholders, indicating limited retail exposure.

Expected Return:

Scenario	Price Target	Upside/Downside
Bull	14000	95.79%
Base	9700	36.72%
Bear	5900	-17.03%

COMPANY OVERVIEW

Business Description:

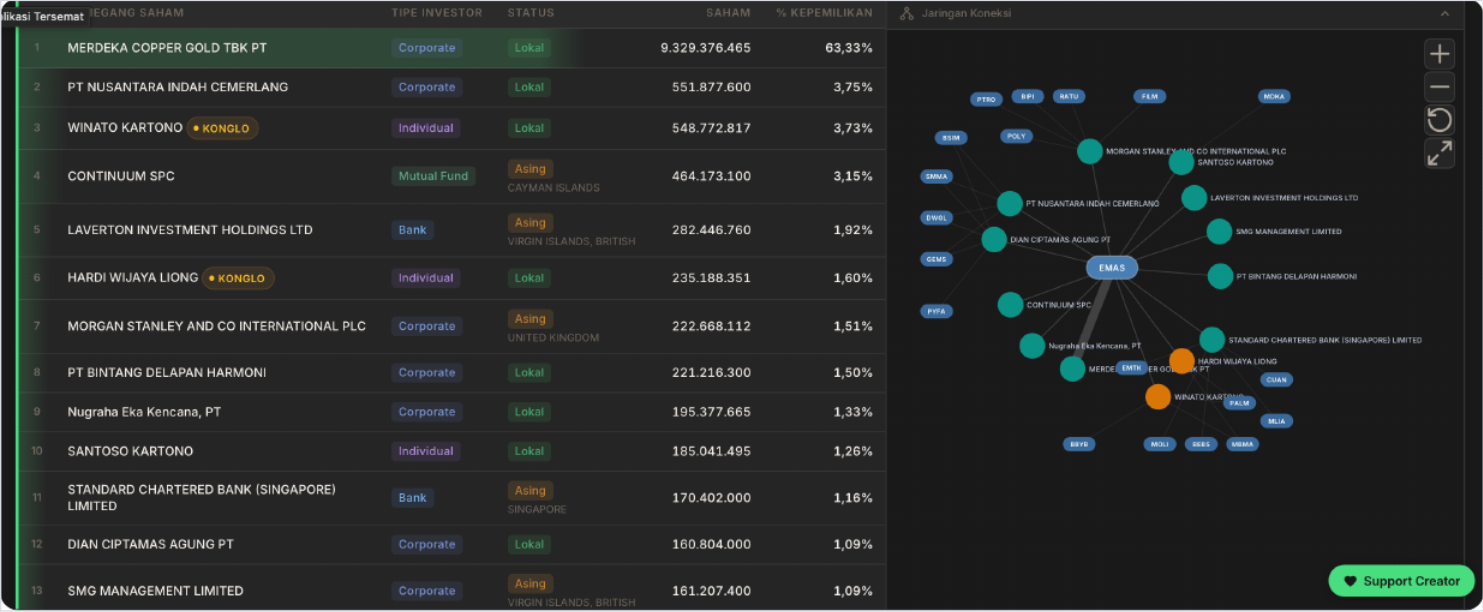
The Company currently conducts business as the holding company of a business group engaged in gold and associated-mineral mining, processing, and other vertically integrated business activities.

The Company's Pani Gold Project will become a mine that can be operated for multiple decades, with processing capacity reaching 19.0 million tons per year. Gold production at its peak in 2033 is estimated to reach 500,000 ounces per year, positioning the Pani Gold Project as one of the largest gold mines in Indonesia and the Asia Pacific region.

Ownership Structure:

Holder	% Owned
PT TUNGGAL JAYA INVESTAMA	37.81%
PT HARIMAS TUNGGAL PERKASA	35.75%
Scripless Public Shareholders	24.43%

1% OWNERSHIP



SOURCE: PERPLEXITY.AI

FINANCIAL ANALYSIS

Metric	FY2022	FY2023	FY2024	FY2025E	FY2026E
Revenue	~\$0	\$1.4M	\$1.75M	\$5M	\$353M
Gross Profit	N/A	N/A	N/A	Negative	~\$212M
Gross Margin	N/A	N/A	N/A	Negative	~60%
EBITDA	N/A	(\$26.3M)	\$9.3M	(\$26.7M)	~\$212M
EBITDA Margin	N/A	N/M	N/M	N/M	~60%
Net Income	N/A	(\$7M)	(\$13M)	(\$279M)	\$132M
EPS	N/A	N/M	N/M	(IDR 20.15)	Positive

N/M = Not Meaningful (pre-production phase)

Key Notes by Period:

FY2022-FY2024 Pure Development Stage: Historical revenue was very minimal, only \$1.4M (FY2023) and \$1.75M (FY2024), and was not from gold sales but from minor activities. Losses continued to widen as Pani construction progressed.

FY2025 Final Construction Phase: The full FY2025 still reflects the construction phase, with net profit still negative. First gold production was only achieved in February 2026.

FY2026E Inflection Year: Verdhana analysts project FY2026 revenue will rise significantly after raising the production assumption to 95koz, with a target EBITDA margin of 60% and a gold price assumption of \$5,000/oz. Analyst consensus expects FY2026 revenue of \$353M with net income of \$132M, marking the first turn to profitability.

Balance Sheet & Cash Flow Highlights (FY2024):

Metric	FY2024
Cash & Equivalents	IDR 325.55B
Total Debt	IDR 3.36T
Net Cash Position	(IDR 3.03T)
Operating Cash Flow	(IDR 247.17B)
Capex	(IDR 2.08T)
Free Cash Flow	(IDR 2.32T)
Debt/Equity	0.77x
Current Ratio	0.33x

Financial Conclusion

EMAS is a classic pre-revenue mining story that is just entering the monetization phase in 2026. Supported by favorable gold-price conditions and a competitive production-cost structure, the company expects financial performance to turn toward profitability in FY2026. Growth projections are very aggressive: revenue is expected to grow 48.5% per year and EPS 105.7% per year going forward, with ROE projected to reach 24.9% within 3 years.

RISK ANALYSIS

Risk	Impact	Probability	Mitigation
Decline in global gold prices	High	Medium	Hedging via GSPA with ANTM; AISC cost structure of \$1,300-1,450/oz remains profitable at current gold prices
Failure to ramp up production / operational delay	High	Medium	Construction is 94% complete; first gold achieved in Feb 2026; management track record at MDKA
Liquidity pressure & debt burden	High	Medium	Debt IDR 3.36T vs cash IDR 325B, but \$350M RCF has been secured from a syndication of local and foreign banks
HKEx dual listing fails/delayed	Medium	Medium	A1 application submitted in March 2026; the HKEx regulatory process may take longer
Exclusion from GDXJ/GDX rebalancing	Medium	Low	Already included in GDXJ effective March 2026; GDX evaluation scheduled for 12 June 2026
Regulatory & RKAB approval risk	Medium	Medium	2026 production remains subject to RKAB approval; approval delays could disrupt guidance
Foreign outflow & IHSG pressure	Medium	High	Correlated with domestic market sentiment; however, passive GDXJ inflow of \$86M acts as a buffer

Share dilution from CIL expansion in 2028	Low	Medium	Large capex for 12 Mtpa CIL expansion may require a rights issue or additional debt
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Downside Scenario Detail:

In the worst-case scenario, three risks occur simultaneously: global gold prices correct sharply below \$2,800/oz, Pani production ramp-up experiences technical delays, and the HKEx dual listing is rejected or delayed for more than 12 months. This would force the company to conduct a rights issue in a weak market, resulting in significant dilution for existing shareholders. With a current ratio of only 0.33x and negative net cash of IDR 3T, EMAS does not have sufficient liquidity buffer to withstand this scenario without support from parent company MDKA. The downside price in this scenario is estimated at the IDR 4,000-5,000 zone, or around 30-40% from the current level.

Risk Notes & Disclaimer: This market summary is for informational purposes only and does not constitute financial advice. Past performance is not indicative of future results. Please consult with a qualified financial advisor before making any investment decisions.